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**Balance as per cash book (` 7,000) is more than balance as per bank statement**



**Balance as per bank statement (` 6,700) is less than balance as per cash book**

### (d) Interest and dividends collected by the bank

The bank may collect dividends on its customer's investment in shares and also interest on any investment. The entry for this will be made in the bank statement on the date of collection. But the entry is made in the cash book only when the bank statement is received by the customer. Till then, the cash book shows less balance than the bank statement.

For example, the balances as per cash book and bank statement are `15,000. The bank has collected dividends of `1,000. As a result of this, the balance as per bank statement is increased to `16,000, whereas until the customer receives such information and records the same, balance as per cash book is lesser by `1000. As a result of this,



**Balance as per bank statement (` 16,000) is more than balance as per cash book**



**Balance as per cash book (` 15,000) is less than balance as per bank statement**

### (e) Dishonour of cheques and bills

When the cheque is received from outside parties, it is deposited with the bank and debited in the cash book. If the cheque is dishonoured, the bank cannot collect the amount of such cheque from outside parties' bank. It is not credited in the bank statement. As a result of this, the two records would differ.

While discounting the bills receivables, in the cash book it is entered in the debit side and in the bank statement it is credited. When the bill is presented by the bank to the drawee of the bill and the payment is not received, the bank debits the same to cancel the credit. But, credit is made in the cash book only when the customer gets the entries made in the bank statement is received. The bank may also charge some amount for such dishonour.

For example, opening balance as per cash book and bank statement is ` 5,000 as on 1st January, 2017. A cheque for ` 1,000 deposited by the business into bank on 25th January, 2017 is dishonoured and no entry for such transaction is made in the cash book as on that date. As a result of this,



**Balance as per cash book (` 6,000) is more than balance as per bank statement**



**Balance as per bank statement (` 5,000) is less than balance as per cash book**

### (f) Amount paid by parties directly into the bank

Sometimes, debtors or the customers of the business may directly deposit the money into bank account of the business. It may be done by directly visiting the branch of the bank by paying cash (including NEFT, RTGS) or swiping debit or credit or business card or depositing the money in cash deposit machine or transfer through online banking facility. This will be credited in the banker's book. But the entry is made in the cash book only when the bank statement is received by the customer. Until then, the cash book shows less balance than bank statement.